

August 23, 2026 12:44 PM GMT

Yangtze Optical Fibre and Cable JSC Ltd | Asia Pacific

Strong Revenue and Profit Growth in 1H26; OW

AlphaSignals Earnings Reaction

Strengthens our thesis Impact to our thesis Modest upside Financial results versus consensus Modest revision higher Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

■ AI-driven demand for optical fiber in data centers expected to grow at CAGR of >20% from 2025 to 2030.

- Revenue rose +53.6% YoY to Rmb9,809m – the strongest interim performance in the company's history.
- Gross margin expanded to 53.4% from 28.3% in 1H 2025 – a 2,510bps improvement. Cost of sales remained broadly stable at Rmb4,574.8m while raw material costs declined 7.7%, amplifying the margin uplift from higher ASPs.
- Net profit rose +889% to Rmb2,924.5m – the high end of the preliminary guidance range of Rmb2.40–3.00bn issued in July.
- Management expect global optical fiber demand in 2026 to exceed 670 million fiber-kilometers, with data center-related fiber demand growing +69% YoY.

Exhibit 1: 1H26 results review

Rmb mn	1H24	2H24	1H25	2H25	1H26	YoY	HoH
Revenue	5,348	6,849	6,384	7,868	9,809	54%	25%
Optical communication products	3,539	4,329	3,847	4,500	6,125	59%	36%
Optical transmission components	934	1,182	1,444	1,700	2,238	55%	32%
Others	876	1,338	1,094	1,668	1,445	32%	-13%
Gross profit	1,492	1,838	1,807	2,574	5,234	190%	103%
Opex	(1,107)	(1,294)	(1,216)	(1,543)	(1,643)	35%	6%
Selling	(220)	(269)	(241)	(346)	(368)	53%	7%
ADM	(496)	(547)	(539)	(625)	(702)	30%	12%
R&D	(348)	(440)	(386)	(508)	(501)	30%	-1%
Operating income	385	544	590	1,030	3,591	508%	249%
Non-ops	(38)	(298)	(204)	(272)	213	-204%	-178%
Taxes	(19)	8	(40)	(223)	(617)	1447%	176%
Minorities	50	45	(51)	(18)	(262)	417%	1392%
Net income	378	298	296	518	2,925	889%	465%
Margins							
Gross margin	27.9%	26.8%	28.3%	32.7%	53.4%	25.1%	20.6%
Operating margin	7.2%	7.9%	9.2%	13.1%	36.6%	27.4%	23.5%
Selling%	4.1%	3.9%	3.8%	4.4%	3.8%	0.0%	-0.6%
ADM%	9.3%	8.0%	8.4%	7.9%	7.2%	-1.3%	-0.8%
R&D%	6.5%	6.4%	6.0%	6.5%	5.1%	-0.9%	-1.4%
Net margin	7.1%	4.4%	4.6%	6.6%	29.8%	25.2%	23.2%

Source: Company data, Morgan Stanley Research

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Yangtze Optical Fibre and Cable JSC Ltd (6869.HK, 6869 HK)

Greater China Technology Hardware | China

Stock Rating Overweight Industry View In-Line Price target HK\$230.00 Up/downside to price target (%) 64 Shr price, close (Aug 21, 2026) HK\$140.00 52-Week Range HK\$305.00-31.14 Sh out, dil, curr (mn) 350 Mkt cap, curr (mn) Rmb189,699.3 EV, curr (mn) Rmb193,873.6 Avg daily trading value (mn) HK\$3,404

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.0	9.1	15.4	13.8
EPS (Rmb)\$	1.1	7.0	11.1	12.4
Revenue, net (Rmb mn)	14,252.1	27,387.6	34,486.6	40,004.4
EBITDA (Rmb mn)	2,792.7	10,131.1	15,187.7	13,964.1
ModelWare net inc (Rmb mn)	813.7	7,506.7	12,730.3	11,435.2
P/E	47.3	13.2	7.8	8.7
P/BV	2.2	4.0	2.8	2.3
RNOA (%)	6.1	30.1	36.7	29.7
ROE (%)	5.2	42.2	50.8	32.2
EV/EBITDA	25.4	19.0	12.2	12.9
Div yld (%)	1.2	0.2	2.3	3.8
FCF yld ratio (%)**	9.5	1.4	9.6	9.5
Leverage (EOP) (%)	15.1	6.2	(16.4)	(26.7)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

\$ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)

Base case, derived from our residual income model (RIM), the same methodology we use for our Greater China Tech coverage. We apply a CoE of 11% (3% risk-free rate, 8% equity risk premium, and 1.0 beta), a medium-term growth rate of 15%, and a terminal growth rate of 2%.

Risks to Upside

- Price improvement in optical fiber/cable in response to tighter supply
- Better-than-expected demand from 5G-related applications
- AI infrastructure boom to create a super-cycle on the demand side

Risks to Downside

- Downside in cable and fiber prices
- Irrational capacity expansion in the industry
- Margin squeeze from telecom operators, the major customers

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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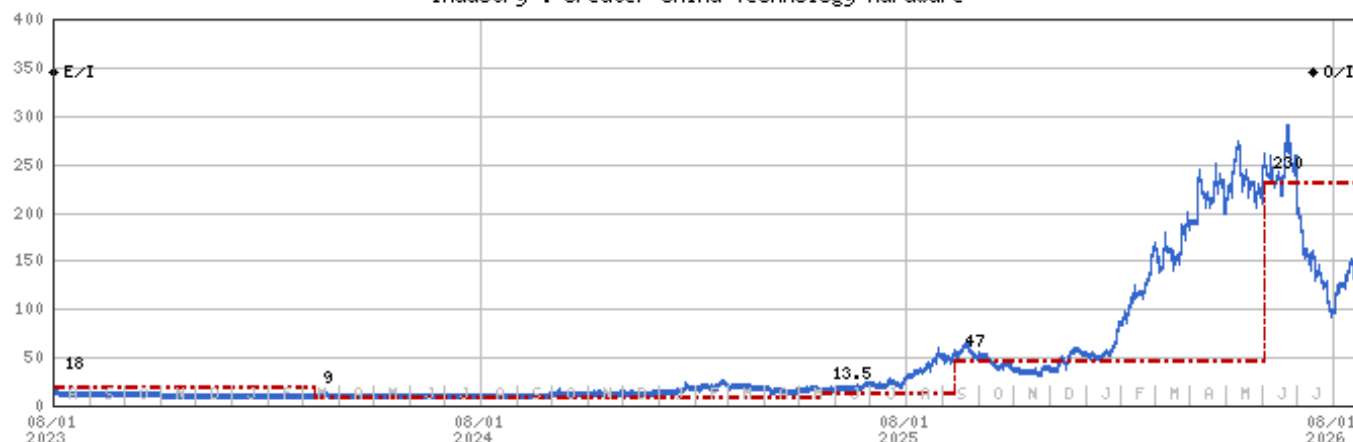
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Yangtze Optical Fibre and Cable JSC Ltd (6869.HK) – As of 08/23/26 GMT in HKD
Industry : Greater China Technology Hardware



Stock Rating History: 8/1/21 : NA/I; 10/13/21 : E/I; 12/17/21 : O/I; 4/20/23 : E/I; 7/15/26 : O/I

Price Target History: 10/13/21 : 16; 12/17/21 : 17.5; 9/13/22 : 22.4; 11/15/22 : 21.8; 1/9/23 : 17; 4/20/23 : 18; 3/11/24 : 9; 5/20/25 : 13.5; 9/11/25 : 47; 6/3/26 : 230

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/21/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$40.10
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb178.58
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.58
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.47
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.11
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb442.00
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$652.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb23.40
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.44
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.40
Largan Precision (3008.TW)	O (07/10/2026)	NT\$5,610.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.56
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.24
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK\$6.24
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK\$61.10
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb54.65
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.09
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$6.79
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb58.01
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$39.96
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb57.81
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$61.75
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb273.08
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb16.67
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$29.02
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb363.60

Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$140.00
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb106.87
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb27.48
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb943.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$23.86
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb33.78
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,035.00
Advantech (2395.TW)	O (01/20/2021)	NT\$649.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,435.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,865.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$25.60
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$969.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,275.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb6.00
Chenbro (8210.TW)	O (07/23/2025)	NT\$944.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,100.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,750.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$160.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$57.30
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,765.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$349.00
Innolux (3481.TW)	E (04/07/2025)	NT\$46.05
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$13,385.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb37.19
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$261.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb5.03
Tianma (000050.SZ)	U (01/24/2018)	Rmb6.54
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb217.09
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$30.70
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$921.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$203.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$38.95
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.05
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb62.84
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$339.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$965.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$245.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb76.35
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,920.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$29.78
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,595.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,135.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$88.60
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$321.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb132.80
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb358.25
Unimicron (3037.TW)	O (02/23/2026)	NT\$1,085.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$406.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$175.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$6,255.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$554.00
Zhen Ding (4958.TW)	++	NT\$441.00

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